Cryptocurrency Fundamentals

Module 4 Study Guide

Buying & Selling Crypto Safely

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Choosing a Reputable Exchange

In this lesson: Evaluate exchange security standards; Verify platform transparency and reserve

Key points

- Require strong security and verified proof of reserves
- Calculate deposit, trade, and cashout fees before trading
- Test local TT bank and credit union withdrawal paths early

Examples from the lesson

- We are kicking off Module 4, titled "Buying & Selling Crypto Safely," with Lesson 1: "Choosing a Reputable Exchange."
- To evaluate an exchange safely, you must inspect four key pillars: security, fees, transparency, and ease of withdrawing back to your local Trinidad and Tobago bank account.
- A reputable exchange must offer two-factor authentication, cold storage for user funds, and a solid track record.
- Imagine you decide to convert TT$1,000 into a stablecoin on a popular platform to begin your portfolio.
- First, the exchange charges a deposit processing fee of 1.5%, which equals TT$15 off the top.
- This leaves you with a starting net deposit balance of TT$985 ready to trade.
- Next, when you execute the trade to buy your digital asset, the exchange applies a maker-taker trading fee of 0.5%, which comes out to TT$4.93 on your remaining balance.
- Later, when you decide to sell that asset back to cash and request a wire transfer to your local bank, the exchange levies a flat withdrawal fee of TT$20.
- Summing up all charges, you pay TT$15 for the deposit, TT$4.93 for the trade execution, and TT$20 for the local bank withdrawal.
- This brings your total platform transaction costs to exactly TT$39.93 on your initial TT$1,000 transaction.
- That leaves you with a final net payout of TT$960.07 transferred back to your bank account.
- Join me in our next lesson, Lesson 2: Placing Your First Buy and Sell Orders, where we will walk step by step through market, limit, and stop orders so you can execute trades with total

confidence.

Lesson 2: Placing Your First Buy and Sell Orders

In this lesson: Order Book Basics; Market Orders; Limit Orders; Confirmation Habits.

Key points

- Market orders prioritize instant execution speed
- Limit orders guarantee your preferred price target
- Always review details before confirming your trade

Examples from the lesson

- I’m your instructor, and you are tuning in to Cryptocurrency Fundamentals, Module 4: Buying & Selling Crypto Safely.
- Today, in Lesson 2, we are taking the next critical step: Placing Your First Buy and Sell Orders.
- If you insist on paying exactly TT$7 to reach your stop, but the driver demands TT$10, you wait on the pavement until a maxi comes along that accepts your TT$7.
- You might wait five minutes or an hour, or the ride might never come if no driver agrees.
- Suppose you deposit TT$700 into your exchange account to purchase Bitcoin.
- You set your limit buy order price at the equivalent of TT$680 for your target fraction of crypto.
- When you submit this limit order, the exchange holds your TT$680 in reserve.
- The exchange then charges a small maker fee of TT$2 for placing the limit order on the book.
- When the order completes, you end up spending a total of TT$682, leaving TT$18 sitting safely in your cash balance.
- Look closely at three key figures: the order type, the total price including exchange fees, and the exact quantity of cryptocurrency you are ordering.
- It takes five seconds to confirm these details, but it prevents costly mistakes like adding an extra zero by accident.
- In our next lesson, Lesson 3: Spotting Scams, Fees, and Hidden Costs, we will break down how to protect your hard-earned dollars from hidden platform charges and deceptive schemes.

Lesson 3: Spotting Scams, Fees, and Hidden Costs

In this lesson: Deposit and Platform Fees; Calculating Network Costs; Local Crypto Scam Patte

Key points

- Calculate deposit, exchange, and gas fees together
- Reject guaranteed returns and fake bank receipts
- Verify settled bank cash before releasing assets

Examples from the lesson

- You are tuned into Cryptocurrency Fundamentals, Module 4: Buying & Selling Crypto Safely, and today we are tackling Lesson 3: "Spotting Scams, Fees, and Hidden Costs".
- When you move TT dollars from your bank account or credit card to a platform, you encounter three distinct layers of fees: the deposit fee, the exchange trading fee, and the blockchain network or gas fee.
- Imagine you want to buy TT$1,000 worth of Bitcoin using a local payment method or card.
- First, your payment provider or credit card issuer charges a deposit or processing fee of 3%, which equals TT$30.
- That means only TT$970 actually arrives on the trading platform ready for work.
- If the exchange charges a standard 1% trading fee on that remaining amount, they take TT$9.70 right off the top.
- Now your trading capital is down to TT$960.30.
- Let's say the network fee is fixed at the equivalent of TT$20.
- Subtracting that network fee leaves you with exactly TT$940.30 in actual Bitcoin in your wallet.
- Out of your initial TT$1,000 budget, TT$59.70 was spent purely on frictional fees and network costs.
- Understanding fees is only half the battle because scammers in Trinidad & Tobago actively target eager beginners.
- A stranger or even a friend promises that if you send them TT$2,000 in crypto, their algorithm will trade it and return TT$10,000 in seven days.
- Protecting yourself requires building three solid habits into your daily financial routine.
- In our next module, we shift focus from buying and trading to long-term digital asset protection in Module 5: Wallet Security and Safe Storage.

Recap checklist — can you say each one?

Lesson 1: Choosing a Reputable Exchange

- ☐ Require strong security and verified proof of reserves
- ☐ Calculate deposit, trade, and cashout fees before trading
- ☐ Test local TT bank and credit union withdrawal paths early

Lesson 2: Placing Your First Buy and Sell Orders

- ☐ Market orders prioritize instant execution speed
- ☐ Limit orders guarantee your preferred price target
- ☐ Always review details before confirming your trade

Lesson 3: Spotting Scams, Fees, and Hidden Costs

- ☐ Calculate deposit, exchange, and gas fees together
- ☐ Reject guaranteed returns and fake bank receipts
- ☐ Verify settled bank cash before releasing assets